

FOR THE COURSE OF FUNDAMENTAL OF ACCOUNTING-I & II

1. The use of pre-numbered cash receipts in collecting cash is an application of the principle of:

- ☐ a. Establishment of responsibility
- ☐ b. Documentation procedures
- ☐ c. Segregation of duties
- ☐ d. Physical control

2. Sweet Company purchased a computer, on January 1, 2020, at a cost of Birr 10,500. The computer is expected to have a useful life of five years and a residual value of Birr 500. Depreciation is recorded based on straight-line method. Assume that the computer is disposed of on December 31, 2022 at a selling price of Birr 3,500. Which of the following is NOT correct regarding the entry on the date of disposal?

- ☐ a. PPE account is credited by Birr 10,500
- ☐ b. Cash is debited by Birr 3,500
- ☐ c. Accumulated depreciation is credited with Birr 6,000
- ☐ d. Loss on disposal is debited by Birr 1,000

3. Lidya is an employee in one of the government organization in Ethiopia. Her monthly salary is Birr 2,000. During Yekatit 2015 she worked on a night time (4pm-6am) for 8 hours. She has a non-taxable allowance of Birr 500. Lidya contributes 2% of her salary to Ethiopian Red Cross Society. She is expected to work 160 hours per month and she worked accordingly. What is the amount of overtime related to lidya's payment?

- ☐ a. Birr 200
- ☐ b. Bir 150
- ☐ c. Birr 125
- ☐ d. Bir 250

4. At the end of June 30, 2022, the following items were reported by West Manufacturing Co.

Finished goods	Birr 500,000
Raw materials.	200,000
Work in process.	100,000
Office supplies bought for use by managers	30,000

Which of the following reporting on statement of financial position is correct?

O a. Inventory Birr 500,000 and other items Birr 330.000

Ob. Inventory Birr 630,000 and Raw materials Birr 200,000

Oc Inventory Birr 800,000 and Office supplies Birr 30,000

Od. Inventory Birr 730,000 and Work in process Birr 100,000

5. Time Company uses perpetual FIFO system. It has the following data about item 7:

	<u>Units.</u>	<u>Unit Cost</u>
Inventory, Jan. 1.	5,000.	Birr 10
Sales, Jan 15.	1,000.	Selling price 25/unit
Purchase, Feb.10.	3,000	20
Sales, June 3	6,000	selling price 25/unit

The amount of cost of merchandise available for sale as of December 31 is

O a. Birr 50,000

O b. Birr 110,000

Oc Birr 150,000

O d. Birr 400,000

6. Seller PLC uses perpetual inventory system. On April 12, 2023, It sold merchandise on account, at Birr 80,000, on 1/10, n/30 terms. The cost of merchandise is Birr 65,000. FOB shipping point, freight prepaid by Seller PLC totalled Birr 1,000 and added to the invoice. Which of the following is correct?

O a. Accounts receivable is debited by Birr 80,000

O b. Sales is credited by Birr 81,000

O c. Accounts receivable is debited by Birr 81,000

O d. If collection is within the discount period, Cash is debited by Birr 80.190

7. An analysis and aging of the accounts receivable of Black Ltd. at December 31 reveals the following data-Accounts receivable Birr 700,000 Allowance for doubtful accounts per books before adjustment is Birr 30,000 debit-Amounts expected to become uncollectible Birr 70,000 The amount of net realizable value of accounts receivable is

O a Birr 100.000

O b. Birr 630,000

O c Birr 670,000

O d. Birr 590,000

8. In a Share Company, which of the following is allowed for owners?

O a. Deciding on the amount of dividend to be distributed

O b. Transferring cash or other resources to the corporation

O c Appointing corporation's officers

O d. Reporting financial result on annual meeting

9. Which of the following costs should be capitalized in the year incurred?

a. Costs to successfully defend a patent.

b. Costs to internally generate goodwill.

c. Research and development costs.

d. Organizational costs.

10. All of the following statements about users of account information are correct except

- O a. Creditors are external users
- O b. Taxing authorities are external users
- O c. Regulatory authorities are internal users
- O d. Management is an internal user

11. Before recording adjustment, the balance of supplies on hand was Birr 8,000. After adjustment this account shows a balance of Birr 3,000. The adjusting entry is recorded as:

- O a. Debit Supplies and Credit Supplies expense by Birr 5,000
- O b. Debit Supplies and Credit Supplies expense by Birr 3,000
- O c. Debit Supplies Expense and Credit Supplies by Birr 5,000
- O d. Debit Supplies and Credit Cash by Birr 5,000

12. In a Fire & water partnership, net income and net loss is shared equally. On the date of liquidation of their partnership, records showed the following balances.

- Cash .. Birr 200,000
- Non cash assets .. 400,000
- Account payable 100,000
- Fire's Capital .300,000
- Water's Capital .. 200,000

If non cash assets were sold at Br 500,000, which of the following statement is correct?

- a. The amount of cash distributed to Water equals Br 200,000
- b. The amount of cash available to partners equals Br 700,000
- c. The amount of cash distributed to Fire equals Br 350,000
- d. The amount of cash distributed to Fire equals Br 300,000

13. Permitting only designated personnel to handle cash receipt is an application of the principle of:

- a. Independent internal verification
- b. Establishment of responsibility
- c. Segregation of duties
- d. Human resource controls

14. The process of turning money that is derived from criminal activities- dirty money-in to money which appears to have been legitimately acquired and which can therefore be more easily invested and spent is called:

- a. Market Abuse
- b. Money laundering
- c. Insider Trading
- d. Market manipulation

15. Yene Company purchased land containing an estimated 1,000,000 tone of ore for a cost of Birr 10,500,000. The land without the ore is estimated to be worth Birr 500,000. During its first year of operation, the company mined and sold 300,000 tones of ore. What is the amount of depletion expense that Yene Company should record for the year?

- a. Birr 7,000,000
- b. Birr 3,150,000
- c. Birr 10,000,000
- d. Birr 3,000,000

16. Which of the following intangible assets could not be sold by a business to raise needed cash for a capital project?

- a. Copyright
- b. Trade name
- c. Patent
- d. Good will

17. If accrued Utility expense of Br 5,000 is not recorded, which of the following is correct?

- a. Expense will be overstated
- b. Liability will be understated
- c. Owner's equity will be understated
- d. Net income will be understated

18. The main purpose of accounting is:

- a. To provide Financial information to users
- b. To accumulate and determine cost
- c. To prove the equality of debits and credits
- d. To record and post transactions

19. Which of the following should not be included in the physical inventory of a company?

- a. Goods in transit, bought from another company with FOB shipping point term
- b. Goods held on consignment from another company
- c. Goods shipped on consignment to another company
- d. Goods in process

20. Aster is an employee in one of the government organization in Ethiopia. Her monthly salary is Birr 4,000. During Tir 2015 She worked on public holiday for 10 hours. She has a position allowance of Birr 1000. Aster is a member of the saving and credit association of the organization in which she works and decided to save 10% of her salary. She is expected to work 160 hours per month and she worked accordingly. What is the amount of overtime related to Aster's payment?

- a. Birr 950
- b. Birr 781.25
- c. Birr 500
- d. Birr 625

21. Which of the following is NOT a reason the retail inventory method is used widely?

- a. To defer income tax liability
- b. As a control measure in determining inventory shortages
- c. To permit the computation of the net income without a physical count of inventory
- d. For insurance information

22. Which one of the following is NOT the duty of the Board of Directors of the share company?

- a. Controlling the day to day activities of the operations
- b. Authorizing contracts & setting executive salaries
- c. Declaration of dividend
- d. Arranging major loans with banks

23. On December 31, 2022, Diamond company reported net income of Birr 50,000 and sales of Birr 200,000. The company also reported beginning and ending accounts receivable at Birr 20,000 and Birr 25,000, respectively. Diamond will report cash collected from customers in its 2022 statement of cash flow (indirect method) in the amount of:

- a. Birr 205,000
- b. Birr 0
- c. Birr 195,000
- d. Birr 245,000

24. South Ltd. Uses allowance method of accounting for uncollectible. Analysis of long outstanding balance of Br 500,000 expected from customer Z reveals the amount will not be collected because of disappearance of the customer following bankruptcy. The correct journal entry is:

- a. Debit Bad debt expense and credit Allowance for uncollectible by Br 500,000
- b. Debit Allowance for uncollectible and credit Account Receivable by Br 500,000
- c. Debit Bad debt expense and credit Account Receivable by Br 500,000
- d. Debit Allowance for uncollectible and credit Bad debt expense by Br 500,000

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